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Chenbro | Asia Pacific

2Q26 Slightly Better on Margin; 3Q26 Revenue Momentum Needs Monitoring

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Despite the GM holding up better, July monthly sales pointed to potential risks to the 3Q26 growth outlook, in our view.

What's new:

- Off revenue of NT\$7,821mn (+10% QoQ/+44% YoY), GM dropped 0.2ppts QoQ, to 32.6%, likely on a less favorable product mix and lower NRE income, though this is above MSe at 31.6% and consensus at 31.4%.
- Opex was NT\$638mn (opex ratio of 8.2%), vs. MSe of NT\$602mn (opex ratio 7.9%) and consensus of NT\$607mn (opex ratio 7.7%), leading to operating profit of NT\$1,926mn (OPM 24.6%), 7%/3% higher than MSe at NT\$1,807mn (OPM 23.8%)/consensus at NT\$1,870mn (OPM 23.7%).
- With the non-op loss of NT\$22mn, net profit of NT\$1,383mn (EPS NT\$11.29) was 4% higher than MSe at NT\$1,330mn (EPS NT\$10.86) but 2% short of consensus at NT\$1,411mn (EPS NT\$11.23).
- July revenue were NT\$2,462mn (-24% MoM/+42% YoY). QTD sales reached 28% of our 3Q26 estimate at NT\$8,659mn (+11% QoQ/+53% YoY) and 26% of consensus at NT\$9,364mn (+20% QoQ/+65% YoY).

Our view:

- We see 3Q26 revenue tracking behind expectations.
- Chenbro should continue to grow along with server shipments and its own share gains, as well as the rack offerings, though growth momentum in the near term needs monitoring.
- 2Q26 earnings call at 2pm HKT on Aug 7th.

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Asia Summer School 2026

Chenbro (8210.TW, 8210 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$1,780.00
Up/downside to price target (%)	44
Shr price, close (Aug 6, 2026)	NT\$1,235.00
52-Week Range	NT\$1,590.00-480.00
Sh out, dil, curr (mn)	122
Mkt cap, curr (mn)	NT\$151,210
EV, curr (mn)	NT\$148,657
Avg daily trading value (mn)	NT\$2,407

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	29.06	47.77	58.77	68.77
EPS (NT\$)§	28.97	48.96	65.82	82.99
Revenue, net (NT\$ mn)	22,001	33,442	41,504	48,078
EBITDA (NT\$ mn)	5,101	8,320	10,119	11,741
ModelWare net inc (NT \$ mn)	3,558	5,848	7,195	8,420
P/E	34.6	25.9	21.0	18.0
P/BV	11.4	10.2	7.9	6.3
RNOA (%)	48.5	68.6	66.4	72.9
ROE (%)	49.0	52.8	47.3	43.0
EV/EBITDA	24.2	17.6	14.1	11.8
Div yld (%)	0.7	1.1	1.9	2.3
FCF yld ratio (%)**	2.1	2.4	4.3	5.2
Leverage (EOP) (%)	(28.3)	(32.8)	(44.3)	(53.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Chenbro (8210.TW)

Base case, derived from 30x 2027e P/E. We view our target multiple as justified by the 33% earnings CAGR we see for 2025-28, which implies a PEG of 0.9. This is in line the average of 0.9 over 2014-24, when the stock was trading at an average P/E of 12x for a 14% earnings CAGR.

Risks to Upside

- Stronger AI capex outlook
- Larger market share gains within existing customers
- Faster penetration into new customers
- Higher entry barrier among peers that leads to higher ASP/profitability
- Better macro outlook

Risks to Downside

- Softer AI capex
- Less share gains within existing customers
- Slower penetration into new customers
- Intensifying competition leading to lower ASP/profitability
- Continuous macro uncertainties

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Chenbro (8210.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 7/23/25 : O/I

Price Target History: 7/23/25 : 700; 8/6/25 : 730; 11/4/25 : 1130; 11/10/25 : 1200; 3/9/26 : 1280; 5/11/26 : 1780

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.04
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb175.49
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.01
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb421.87
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$547.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.44
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.77
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.45
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,625.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.45
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.74
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.90
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.99
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb49.52
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$35.32
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.40
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb225.28
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.76
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.86
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb328.25
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$117.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.07

Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.32
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb955.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.94
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.70
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,410.00
Advantech (2395.TW)	O (01/20/2021)	NT\$622.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,560.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,940.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,060.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,370.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.96
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,235.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,975.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,680.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,760.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$362.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$10,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.82
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.82
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.71
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb208.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$818.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.30
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.89
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.27
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$985.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$264.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.79
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,375.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.94
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,970.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$302.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb127.25
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb353.99
Unimicron (3037.TW)	O (02/23/2026)	NT\$973.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$372.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,265.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$570.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$482.00

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